
8. Recent Attempts to Disenfranchise Shareholders

Under Ms. Egan's Tenure as Lead Director, the Current Board Has Attempted to Disenfranchise Shareholders

In January 2022, under Ms. Egan's leadership, the entire Board, including newly-appointed directors, chose to take highly defensive actions which we believe were an attempt to disenfranchise shareholders.

Current Non-Management Directors



Dr. Beckerle

NOT INDEPENDENT



Mr. Ferrari



Ms. Egan



Ms. Tighe



Ms. Dulá



Ms. McGovern



Mr. Muñoz



Mr. Espeland



Mr. Sewell

Nominees Starboard Is Seeking to Replace at the Company's 2022 Annual Meeting

Governance Failures

Shortened the nomination window from ~30 days to 10 days

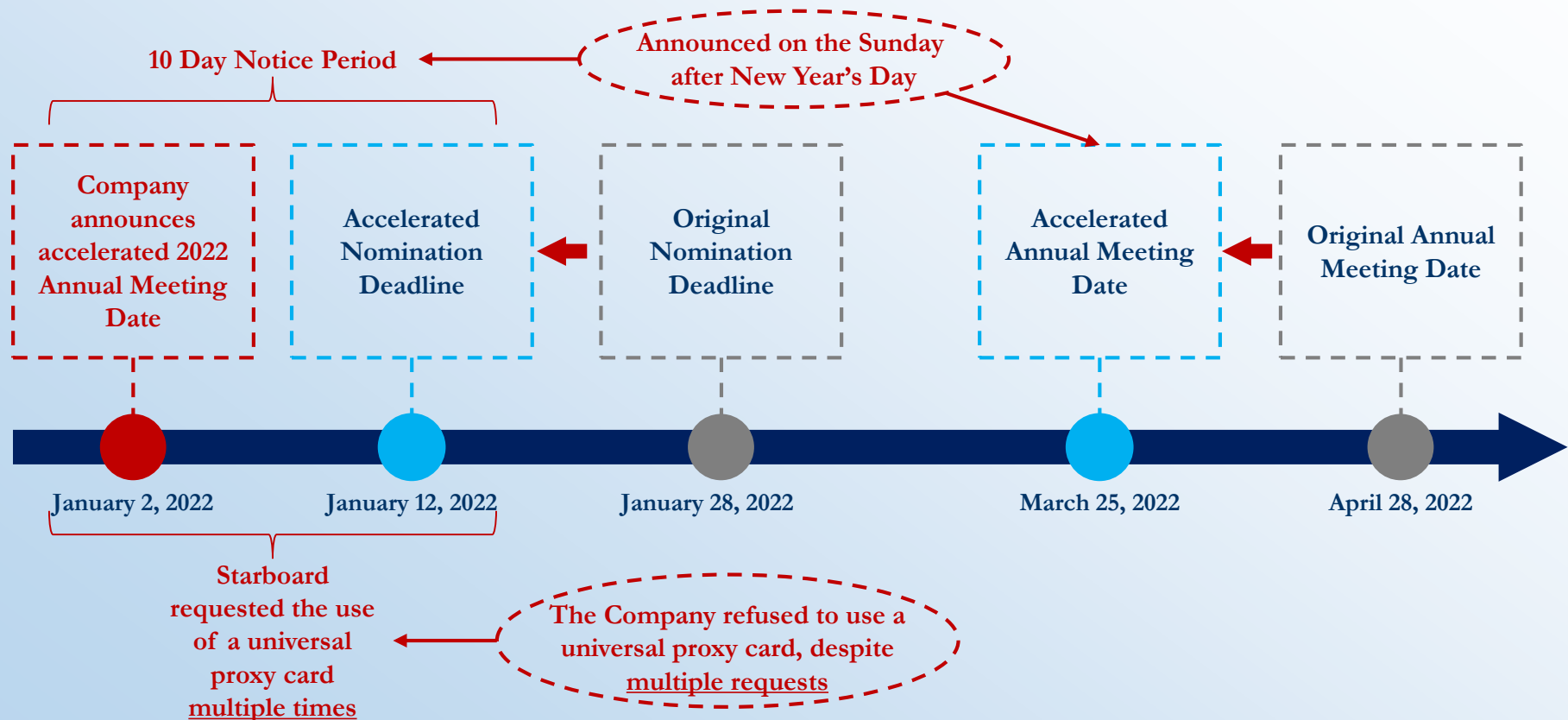
Refused repeated requests to use a universal proxy card

Badgered Starboard and its nominees with repeated legal letters

We are concerned that even newly-appointed directors have seemingly agreed to shareholder-unfriendly actions.

The Board, Including Newly-Appointed Directors, Chose to Dramatically Shorten the Nomination Window

The Board also maneuvered to reduce the director nomination window from nearly a month to just ten days, thereby limiting shareholder input at the upcoming 2022 Annual Meeting.



We believe the Board, including newly-appointed directors, attempted to disenfranchise the Company's shareholders by significantly abridging the director nomination window.

The Board, Including Newly-Appointed Directors, Refused Multiple Requests for a Universal Proxy Card

Contrary to widely-accepted governance best practices, the Board, including new directors, also chose to limit shareholder decision-making by refusing to use a Universal Proxy Card for the 2022 Annual Meeting.

SEC Release Announcing Adoption of Universal Proxy Card

Background

Currently, shareholders voting by proxy in contested director elections are unable to vote for a combination of director nominees from competing slates as they could if they voted in person at the shareholder meeting. Universal proxy cards, which list all duly-nominated director candidates from all parties, allow shareholders to vote through the proxy process in the same manner as they could by voting in person. In 2016, the Commission proposed rules requiring the use of universal proxy cards in director election contests. In April 2021, the Commission reopened the comment period for the 2016 proposal.

What the New Rules Do

The Commission adopted final rules requiring the use of universal proxy cards by management and shareholders soliciting proxy votes for their candidates in director election contests. Under new Rule 14a-19, the universal proxy card must include all director nominees presented by management and shareholders for election at the upcoming shareholder meeting. To facilitate the use of universal proxy cards, the Commission amended the current proxy rules so each side can list the other side's director candidates on its universal proxy card. The new rules also establish new notice and filing requirements for all soliciting parties, as well as formatting and presentation requirements for universal proxy cards. In addition, the final rules require shareholders presenting their own director candidates in the contest to solicit holders of a minimum of 67 percent of the voting power of shares entitled to vote in the election. Registered investment companies and business development companies are not subject to the universal proxy rules.

The final rules establish new requirements for all director elections, including uncontested elections. They mandate that "against" and "abstain" voting options be provided on a proxy card where such options have legal effect under state law. The rules also require disclosure in the proxy statement about the effect of all voting options provided.

"Today's adoption by the SEC of a universal proxy rule represents a significant milestone in efforts by institutional investors and others who champion shareholder rights to ensure corporate elections are fair, transparent, and efficient," said ISS Governance Solutions Business Head, Lorraine Kelly. "As an integral part of the proxy voting ecosystem, we are pleased to see the adoption of this new rule that will mandate inclusion of management and dissident nominees in a single proxy card in contested elections to afford shareholders voting by proxy the ability to support what they believe to be the optimal board composition."

*Institutional Shareholder Services
November 2021*

"In Glass Lewis' view, implementing universal proxy would both enhance shareholder rights and simplify the mechanics of proxy voting..."Requiring the use of universal ballots for contested meetings would provide investors with the flexibility to vote for their choice of management and/or dissident nominees, potentially lower the costs associated with proposing a nominee, and dramatically simplify the mechanics of the voting process for these high-profile meetings by eliminating the need for two competing proxy cards."

*Glass Lewis
September 2019*

The SEC has already adopted rules requiring the use of a universal proxy card for all contested annual meeting elections after August 31, 2022

The two most influential shareholder advisory firms, ISS and Glass Lewis, both support universal proxy cards as good governance standards

The Board refused to use a universal proxy card, despite widely being accepted as governance best practice.